

Promotion of a Company

- Promotion of a company is the first important preliminary stage where in necessary steps are taken for the registration of a company. Promotion is the process of organizing and planning the finances of a business enterprise.
- **The persons who undertake the task of promotion are called promoters.** The promoter is a person who brings a company into existence. A company may have several promoters. **A promoter may be an individual, a firm or body corporate.** One existing company may promote another new company. **He stands in a fiduciary position towards the company.**

Functions Or Duties of a Promoter

- 1. Discovery of Idea:** Promoter discover the idea to set up a business. He also analyses the amount of capital required and the degree of risk involved.
- 2. Detailed Investigation:** After analysing all the concepts related to the idea discovered, the promoter starts doing the detailed investigation regarding cost, profitability, production, demand of the product etc.
- 3. Assembling of Resources:** The promoter starts collecting all the resources necessary to form a company. Promoter makes contracts for purchase of material, land, machinery, recruitment of staff.
- 4. Preparing Preliminary Documents:** Memorandum of Association, Articles of Association ,Prospectus are the important documents prepared by the promoter.

5.Entering into Preliminary Contracts: The promoter signs a preliminary contract with different parties before the incorporation of the company.

6. Naming a Company: The promoter has to select a name of the company ,which should not be identical to the name of any other company.

7. Appointment of Bankers, Brokers, Solicitors and Underwriters: The promoter appoints the brokers and underwriters to ensure the availability of capital by sale of company's securities, solicitors are appointed to deal with the legal matters of the company and the bankers are appointed to have smooth financial dealings.

1. Not to make any profit at the expense of the company:

A promoter cannot make either directly or indirectly any profits at the expense of the company he promotes, without the knowledge and consent of the company. Where the promoter fails to make full disclosure of the profit that he is making, the company may sue him for damages for breach of his fiduciary duty and recover from him any secret profit he made.

Legal Position /Status of a Promoter

- A promoter stands in a fiduciary relation towards the company which he promotes.
- The fiduciary position of the promoter may be summoned up as follows:

2. Not to derive a profit from the sale of his own property without full disclosure:

A promoter is not allowed to derive a profit from the sale of his own property to the company unless all material facts are disclosed. **If a promoter contracts to sell his own property to the company without making a full disclosure, the company may either repudiate the sale or affirm the contract and recover the profit made out of it by the promoter**

Erlanger Vs. New Sombrero Phosphate Co. (1878)

- A syndicate, of which **E was the head**, purchased an island containing mines of phosphate for **55,000 pounds**. **E, as a promoter then formed a company to buy this island**. A contract was made between **X, a nominee of the syndicate and the company for its purchase at 1,10,00 pounds**. The details of the sale were **not disclosed** to the **shareholders or to an independent Board of directors**. It was held that as there had been no disclosure by the promoters of the profit they were making, the company was entitled **to rescind the contract and to recover the purchase money from E** and other members of the syndicate.

3. To make full disclosure of interest or profit: A promoter who wishes to sell his own property to the company must make a full disclosure of his interest in the transaction. The disclosure may be made

- (a) to an independent board of directors, or
- b) in the articles or association of the company, or
- (c) in the prospectus, or
- (d) to the existing and intended shareholders directly.

4. Not to make unfair use of position: The promoter shall not make an unfair or unreasonable use of his position. He must take care to avoid anything which has the appearance of undue influence or fraud.

Rights of Promoters

- 1. Right to Receive Preliminary Expenses:** The promoters are entitled to receive all the expenses incurred in setting up and registering the company, from the Board of Directors. The articles may provide for payment of preliminary expenses to the promoters. The company may pay the expenses to the promoters even after its formation.
- 2. Right to Recover Proportionate Amount from the Co-promoters:** If the entire amount of secret profits is paid to the company by a single promoter, he is entitled to recover the proportionate amount from his co-promoters.

Liability of Promoters

1. Where, it is proved that the **company has been incorporated by furnishing any false or incorrect information**, the promoters shall each be **liable** for action under **Section 447. [Section 7(6)]**
2. **Section 26 of the Companies Act, 2013** lays down matters to be stated and reports to be set out in the prospectus. The promoter may be held liable for non-compliance of this provision.
3. Where a **person has subscribed for securities of a company acting on any statement included in the prospectus which is misleading** and it has caused any **loss or damage** to the person, the promoter of the company is liable to pay **compensation to every person** who has sustained such loss or damage.
[(Section 35(1))]

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6.If the promoter had **diverted the funds or other property of a company for any purpose** other than the purposes of the company ,the **Tribunal** shall, by order, disqualify the said **promoter from being appointed as a director in any company** registered under this Act for a maximum period of 6 years. **[Section 266(2)]**

7. The promoters extend **full cooperation to the Company Liquidator** in discharge of his functions and duties in the winding up of the company. If he doesn't do so, than he shall be **punishable with imprisonment which may extend to 6 months or with fine which may extend to 50,000 rupees, or both** **[Section 284(2)]**

8. If a company is **being wound up by an order of the Tribunal and the liquidator's report shows any fraud in the promotion** and formation of the company, the promoter shall be liable to **public examination.** **(Section 300)**

9. Where a promoter has misused any property of the company or is **guilty of breach of trust in relation to the company**, he can be **sued by the company** for breach of duty or **deceit**, as the case may be **(Section 340)**